

Research Briefing | Germany

Exploratory talks point to a more inflationary coalition deal

- **The outcome of the exploratory talks between the CDU and SPD suggests that the likely next German government could be less supportive of potential growth and more inflationary than last week's fiscal bazooka and infrastructure splurge had suggested. This may send yields higher as the bond market may anticipate higher inflation and more ECB policy tightening.**
- **The talks delivered a potpourri of measures. Some address existing economic problems and should strengthen the supply side of the economy. But many others look ineffective, driven by special interests or are of a consumptive nature. Importantly, measures to boost labour supply are timid in the face of a possibly massive fiscal easing in the years ahead.**
- **There are no cost estimates, but the additional measures may add up to 1% of GDP per year. Offsetting spending cuts are intended, but we see clear risks that existing investment will be offloaded to the infrastructure fund to create space in the otherwise tight core budget.**
- **We still judge it likely that the CDU and SPD will manage to agree to a final deal and pass the fiscal bazooka. But risks remain that they will fail to get the required 2/3 majority, given they will require the support from the Green party, which has flagged concerns that the fiscal splurge will merely plug holes in the core budget. If a majority cannot be reached, a partial passing of the fiscal bazooka is an option, too. That could reduce the fiscal easing roughly by half.**

The CDU and SPD continue to make rapid progress towards a coalition deal. Both parties successfully concluded their exploratory talks over the weekend, which had an early high point with last week's announcement of a [fiscal bazooka](#). The deal that emerged is still very much preliminary in many respects reflecting the urgency to build a new government. But it includes agreements on some of the core priorities of both parties that they require to be part of a final deal, so it gives a good sense of the direction. And as things look, the likely next governing coalition may put even less emphasis on supply side measures to strengthen the medium-term outlook than we thought pointing to a more inflationary environment given the large-scale fiscal easing that may emerge.

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A potpourri of measures with too little focus on strengthening potential growth

The [11-page document](#) that the CDU and SPD agreed lacks a clear focus. Instead, it contains a long list of measures covering various areas with a varying degree of detail. Beyond the already known details on the fiscal bazooka, the additional measures also don't include any cost estimates. So it is hard to judge their relative importance and the below is a selection of measures based on our judgement and split into initiatives we deem more supportive of either potential growth or short-term demand and inflation.

Some of the positive supply measures include:

- **Cut electricity costs:** Reduce the electricity tax to the EU minimum threshold and cap the grid surcharge that would otherwise keep rising to accommodate the grid extension. Could lower electricity price by 5 cent/kWh and could cost EUR11bn per year. Increase energy supply by incentivising the build-up of additional backup natural gas fired electricity plants. This may help to reduce Germany's energy costs that are high in an international comparison. But as regards consumers, the lowered costs could raise demand and price pressures elsewhere.
- **Support car sector's green transition:** Introduce another round of EV purchase incentives. The last such scheme cost maybe EUR2bn per year but could easily get pricier. Avoid EU fines stemming from failure to reduce fleet emissions.
- **Green transition:** A host of different measures can be subsumed under this heading. In many ways, the proposals sound like a rehash of the previous government's approach. For instance, the commitment to Germany's and the EU's climate goals was repeated. Maybe the one key addition is a pledge to allow carbon capture and storage.
- **Corporate tax cuts:** The plan mentions unspecified incentives for corporates to invest. This is likely to be some kind of accelerated depreciation scheme that will lower the tax burden. This could be a quite significant support for corporate capex, if final demand revives at the same time and uncertainty over the policy outlook eases. A first step to a more general corporate tax cut presumably to the statutory rate is also promised. The latter could cost some EUR 5bn initially and grow to over EUR 20 bn assuming this follows the CDU's plan of a gradual introduction. This would reduce the tax gap to other major economies.
- **Cut red tape:** The plan envisages a 25% reduction in [bureaucratic costs](#) by for instance further reducing statistical reporting and other documentation requirements. The latest cost estimate is at EUR27bn of which EUR14bn are born by firms. If implemented in full this would be a positive step building on some measures taken by the outgoing coalition towards the end of their term.
- **More flexible retirement options:** Increase number of workers working past the statutory retirement age by making up to EUR2000 per month tax free. In principle, raising the participation rate of older workers further can be an important contribution to labour supply. But in part this runs counter to the option to retire early at the age of 63 (after 45 years of work) highlighting that this is at best a piecemeal change.
- **Ease shortage of qualified workers:** Support immigration of qualified workers by lowering bureaucratic hurdles mainly by making the application process digital. This has been a priority of most recent governments and some progress is likely, but we struggle to see a major impact. Make overtime pay partially tax free. Reform part of the unemployment benefit system to increase incentives for unemployed to take up jobs for instance by reducing benefits more aggressively, if offered jobs are declined.

Positive demand or inflationary measures:

- **Income tax cuts:** The plan calls for unspecified tax cuts for the middle class and an increase in the commuting allowance. The latter is a pet peeve of the CDU, so we think the former may follow the SPD's ideas.
- **Cut restaurant VAT:** Reduce the VAT from the main 19% rate to the 7% reduced rate that applies to basic necessities such as food. There has been a constant back and forth on this over recent governments depending on the party composition.

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- **Hike the minimum wage to EUR15 per hour:** The plan doesn't specifically call for this large hike from the current EUR 12.82. But it calls for changes to what the minimum wage commission is supposed to take under consideration, when setting the minimum wage. Mainly, the EU guideline of reaching 60% of the median wage. According to the plan, that would allow the EU15 to be reached next year marking a 17% rise.
- **Pension hike for mothers:** In previous coalitions that included the CDU/CSU there were already large increases for mothers of specific age groups. The current plan wants to extend this too all mothers.

There was also a long list of measures to reduce illegal and irregular migration inflows, a priority especially for the CDU. If successful, this would likely ease the fiscal burden and free up funds for other priorities.

However, the main takeaway from this laundry list of priorities is that they look too much tilted towards demand side measures and offer limited supply strengthening parts. Estimates are hard at this stage given the lack of detail, but we judge that the above could easily add up to another 1% of GDP of fiscal easing on top of the infrastructure and defence splurge announced last week. We long thought that Germany has the fiscal space to support the economy more and some of the easing is geared towards strengthening supply. But what we know of the upcoming coalition deal looks to take things too far. This risks that much of the stimulus could raise inflationary pressure given the weak outlook for potential growth and the few steps to stimulate it.

Arguably, the coalition-to-be hopes its growth supportive steps alongside easier monetary policy and corporates' progress in tackling their weaknesses will suffice to revive the economy and finance their spending and tax cut spree. But we are unconvinced of this at this stage. So we continue to think that supply constraints will prevent many of the spending pledges to materialise or that this will stoke inflation.

One counterargument is that the plan mentions offsetting spending cuts elsewhere as there is no space in the core budget to finance the new initiatives anytime soon. However, given the seeming policy approach by the likely incoming government, we see a growing risk that at least some of the existing infrastructure projects will be offloaded to the infrastructure fund unveiled last week. This would reduce the additionality of the funds and reduce their impetus to potential growth.

Deal or no deal?

The speed with which CDU and SPD finalized the exploratory talks and decided on the fiscal bazooka continues to point towards them also agreeing a final coalition deal. However, the more pertinent question at hand is whether they manage to find a majority to pass their fiscal bazooka. This requires a two-thirds majority in both houses of parliament and support from the Green party will be crucial. Over the weekend, the Green party has voiced similar criticism as our own and asked for changes to the fiscal bazooka to reduce the risks that the defence and infrastructure splurge will be used to plug holes in the core budget.

Talks with the Green party are planned for later today. We still think that it is more likely than not that the fiscal bazooka will pass the current parliament possibly with some tweaks. But there is a negligible risk that larger changes will be agreed. One option that has been floated is to separate the defence spending from the infrastructure fund with the Green party agreeing to the former now, while leaving the latter for the next parliament. If this materializes, it greatly reduces the immediate scope for fiscal easing as agreeing constitutional changes in the next parliament is likely to be a more protracted battle.